

AI-carus?

#australia

#lucieliis

#inflation

#technology



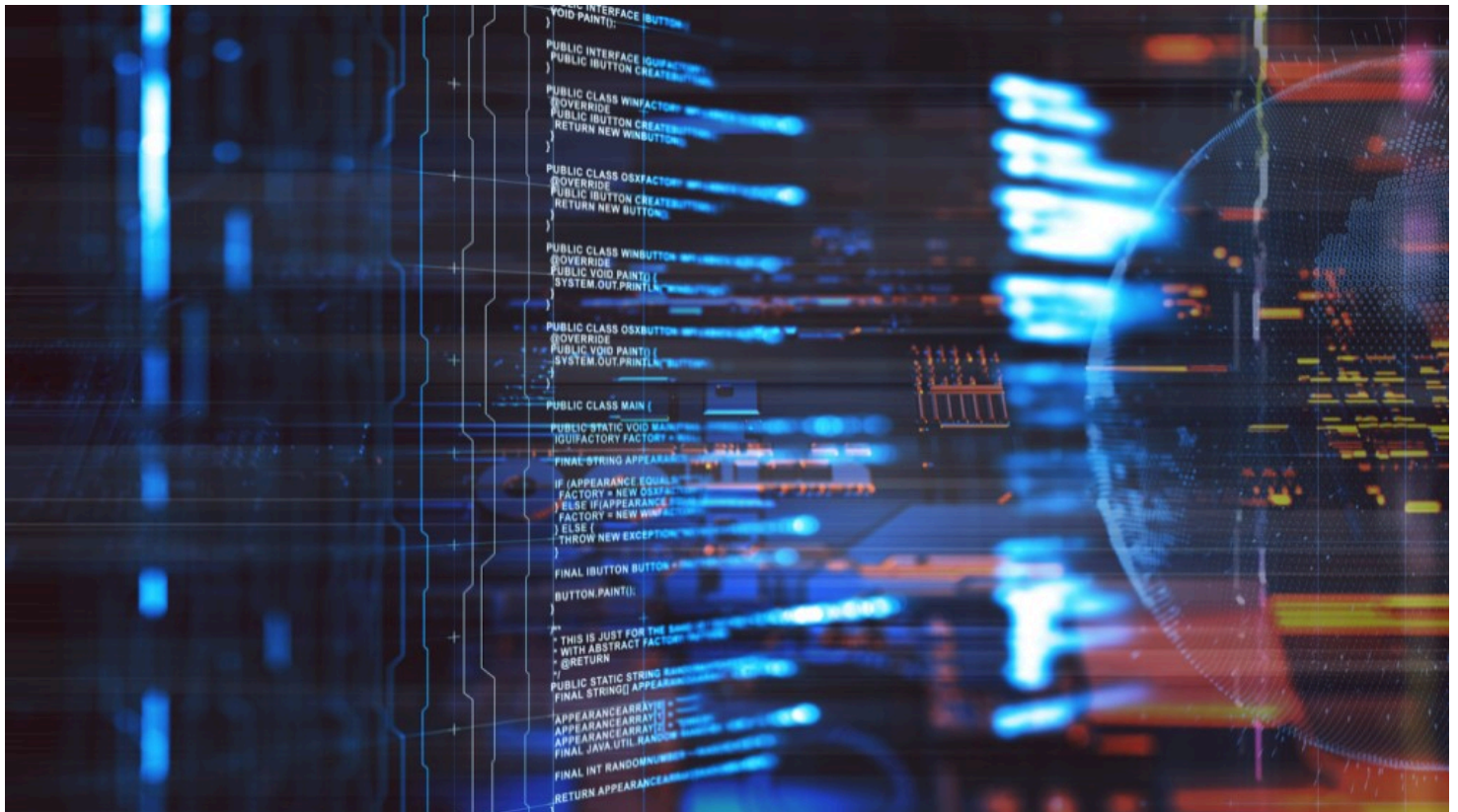
By Luci Ellis

Chief Economist Westpac Group, Westpac

08:31 July 17 2026

Share

AI is flying high. Will it fly too close to the sun and crash like Icarus in Greek myth? Physical constraints and ROI are the sunrays in this story. The likely downswing in prices and investment could be challenging but need not end in meltdown.



- Is AI a bubble? The extraordinary valuations and scale of investment raise the question. Missing, though, is the speculative behaviour of buying an asset now with the intent of resale for profit later.

- It is natural to want to look for parallels in history. Neither the late 1990s/early 2000s 'dot com' nor the 19th century railway booms quite match the current episode. Better analogies may be found in other price cycles stemming from investment booms, spurred by structural shifts. In the rush to build for the new technology, construction costs and end-product prices rise before eventually correcting. Time-to-build and resource constraints can create price cycles even where classic speculative behaviour is absent.
- Non-financial goals around geopolitics or a rush to build a god-like intelligence could blind investors to commercial reality and encourage investments that do not pay off. To avoid a mad flap that takes us, Icarus-like, too close to the sun, choices must be based on cost and ROI.

The exceptional valuations on AI-adjacent firms are matched only by the extraordinary scale of capital expenditure on data centres, both overseas and in Australia. The use of leverage and sometimes opaque financing structures twitch the antennae of those of us who have been through financial boom–bust cycles before. Naturally, people question the return on investment and whether this is a “bubble”. But is it?

It helps to define terms. The usual definition of a bubble is a deviation of asset prices from “fundamental” value, but this is only as good as your model of fundamentals. The distinctive feature in episodes labelled as bubbles is speculative behaviour: investors buying an asset mainly or solely because they expect its price will rise so they can resell at a profit. (In technical terms, the current price of the asset depends on expectations of future price growth). In the extreme, the market is in “Greater Fool” territory, where investors admit that they do not think the revenue warrants the price, but believe they will find a Greater Fool to buy it later.

Property assets are one of the main areas where “bubbly” boom–bust cycles can occur, because investors can use more leverage than for other assets. The asset also does not become obsolete quickly and much of the value is in the non-depreciating land or location component.

Data centres are a kind of property, and leverage is clearly being used to finance their construction. Even so, the speculative behaviour that typically characterises property bubbles is missing: nobody is making these investments in expectation of reselling data centres to make a quick buck. It is all about the expected value of the computing services these data centres will provide. Currently the “cost of compute” seems to be on the rise as the firms building the models try to shift their customer bases away from free and flat-rate subscriptions onto higher-cost pay-by-use plans. Yet everyone knows that AI can only achieve the desired returns by expanding usage, which means it needs to be cheaper than the human labour it seeks to replace. Even if investment decisions are based on expected returns on services provided by that capital, the realism of those return expectations can and should be scrutinised.

It is natural to want to look for parallels in history.

The seemingly obvious one is the 'dot com' boom of the late 1990s/early 2000s. But while there are some similarities to that episode, there are also important differences. Back then, the tech firms building the new technology were not so financially intertwined with the telco firms buying the

spectrum, laying the fibre – and borrowing the money.

There are also similarities to the railway boom of the 19th century, except that location is not as inherent to a data centre. You can train an LLM anywhere you can access the electricity, water and construction inputs. A railway, by contrast, goes from somewhere to somewhere else, and the returns to duplicating the route decline rapidly. Put more technically, data centres do not have the same network effects or location-based natural monopoly characteristics.

Better analogies to the current AI/data centre boom can be found in other price cycles. Many boom–bust cycles start from something real and substantial. A new technology might instigate an equities boom. Opening up a new region might instigate a land boom there. The value underlying the boom remains even after the period of over-exuberance ends. We did not regret creating the Internet, or building that fibre network, or opening up regions through better transport.

What we did sometimes do, though, is pay too much for what we got. If everyone is rushing to build the infrastructure, hoping not to be the Slower Builder who ends up losing money, pressure on construction resources rises, and so do construction prices. We have seen similar cost surges during the mining boom and more recently in the cycle of infrastructure projects in the eastern seaboard states. (This is likely one reason why suppliers of construction materials were so quick to pass increased fuel and transport costs into their prices.)

Along the way, the cost of the services also rise, precisely because of the lags involved in expanding the infrastructure. There is an analogy here in things like shipping costs, which show boom–bust price cycles even though there has obviously never been a bubble in shipping services. In shipping, office property and now data centres, demand might increase but supply is fixed in the short term because it takes time to build that infrastructure. The price of the service therefore rises in the upswing phase.

This upswing phase can also spill over into related sectors, as seen this time in the broader tech sector. Export prices for Korean semiconductors have exploded in the past 6–9 months, up more than 150% over the year. Pass-through to US import prices is more muted, given lags and the usual pricing to market, but tech inflation has increased. As well as the much-publicised price increases for iPads and Macs, the CPI components covering computers and other tech goods have picked up recently in Australia and other advanced economies, to inflation rates close to the peak of the pandemic. This is a departure from their usual deflationary pulse and shows that the current inflationary environment is about more than the US–Iran conflict.

The high costs of the upswing phase nonetheless contain the seeds of their reversal. They discourage use of the underlying service, so adoption is slower than its boosters assume. They also encourage further innovations to economise on the expensive input; routing algorithms to choose the most cost-effective AI model are one example. Over time, as data centres are completed, the supply of computing power expands and its price falls. Investments that only made sense when the service's price was high will become distressed.

What worries me about the current boom is how far financial considerations seem to sit in the background. Capitalism has its drawbacks, but at least raw commercial incentives limit people's

appetite to overpay for things. When all the focus is instead on geopolitical rivalries or being the first to build god-like intelligence, commercial discipline is lost. A potentially beneficial innovation wave instead risks becoming an Icarus-like mad flap that takes us too close to the sun. That is the perfect environment for a price cycle, including in the tech sector more broadly.

The end result need not be a meltdown. That depends on the debt: how much there is relative to revenues after the price downswing, who borrowed it and who lent it. The role of deep-pocketed tech firms eases some concerns. Some borrowers are substantial firms with other revenues. In addition, other tech firms who have not leveraged themselves to the data centre build-out have big enough cash piles to pick up the pieces (at discounted prices) should some projects come unstuck. Regulators will be most concerned about whether the lenders who lent to the hyperscalers and AI firms in turn funded themselves from parts of the financial system that amplify shocks through their leverage and connection to the regulated banking system.

The answer is not to regulate AI out of existence or stymie its further development – a point the federal government has clearly heeded in the PM’s latest announcements. The advice I’d give now is the same as I gave [a decade ago](#), in a different context: in the face of structural change giving rise to a boom, go in with your eyes open. Don’t get ahead of yourself. And have something to catch you when you fall.

Humans have managed to transcend Greek mythology and master the art of flying without melting. Yet the message of Icarus’s story endures: there are dangers when hubris goes unchecked. To avoid getting ahead of yourself, it helps to let commercial considerations shape decisions, especially around borrowing. Far better that than basing decisions on imagined scenarios that do not survive contact with real-world economics.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#australia

Australia and NZ Weekly 27 July 2026

July 27 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [10 more](#)



#australia

Australia and NZ Weekly 27 July 2026

July 24 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [10 more](#)



#australia

High on their own (estimates of) supply

July 24 2026 • ⌚ 4 mins

By [Luci Ellis](#)

Browse topics

#aud

#australia

#interestrates

#nzd

#usd

#newzealand

#rates

#yieldcurve

#credit

#acgb

#inflation

#rba

#semigovernment

#basis

#commodities

- #ustreasury
- #fx
- #rbnz
- #jpy
- #abs
- Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.